REPUBLIC OF THE PHILIPPINES

COMMISSION ON AUDIT

REGIONAL OFFICE NO. XI

C.P. Garcia Highway, Buhangin, Davao City

May 20, 2022

OFFICE OF THE CITY MAYOR
RECEIVED
DATE: MAY 20 2022 3:01
RECEIVED BY:
CITY GOVERNMENT OF PANABO

Honorable JOSE E. RELAMPAGOS
City Mayor
Panabo City

Dear Mayor Relampagos:

We are pleased to transmit the Annual Audit Report (AAR) of the City Government of Panabo, Davao del Norte for the Calendar Year 2021 pursuant to Section 2, Article IX-D of the Philippine Constitution and pertinent provisions of Section 43 of the Presidential Decree No. 1445, otherwise known as the Government Auditing Code of the Philippines.

The audit was conducted to (a) ascertain the fairness of presentation of the financial statements; (b) ascertain the propriety of financial transactions and compliance with prescribed rules and regulations; (c) recommend agency improvement opportunities; and (d) determine the extent of implementation of prior years' audit recommendations.

We conducted the audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs) and we believe that it provides a reasonable basis for our opinion.

We rendered a qualified opinion on the fairness of presentation on the financial statements of the year then ended except for the effects of the matter described in the Bases for Qualified Opinion section of our report.

Among the significant findings and observations noted in audit are the following:

1. The City budget for the procurement of COVID-19 vaccines without an authorization from the DOH and the NTF, in violation to Section 4 of Republic Act No. 11525, resulted to an idle fund of P30.289 million which could have been used to fund different PPAs to prevent and mitigate the effects of the pandemic.

2. Policy on the determination of beneficiaries intended for Socialized Housing Program of City was not properly implemented resulted in an inclusion of unqualified beneficiaries, thus the purpose of the projects was not attained.

3. Lapses of the Bids and Awards Committee in the procurements process resulted in some deficiencies noted in two (2) Infrastructure Projects totaling P35,690,238.57, casting doubt on the authenticity and validity on the result of the bids.

4. Twelve (12) development and infrastructure projects totaling P83.5 Million under the 20% Development Fund (DF) are not implementation-ready, thus affecting the timely delivery of socio-economic development outcomes essential to the promotion of the general welfare of the people.

5. Fund transfer from various National Government Agencies totaling P424.1 million were not implementation –ready as at year end, hence denying the constituent for a possible benefit that they may derived on the programs/projects the soonest possible time.

The details of these significant findings as well as other findings and observations are discussed in the Observations and Recommendations portion of this Report.

We request that the recommendations be immediately implemented and we will appreciate being informed of the action(s) taken thereon by submitting the attached duly accomplished Agency Action Plan and Status of Implementation (AAPSI) within 60 days from receipt of this report.

We express our appreciation for the valuable support and cooperation extended by the officials and staff of the City Government of Panabo.

Very truly yours,

ATTY. EMILIO A. ASI, Jr.
Director III
Regional Director

Copy furnished:

1. *The Regional Director, DILG, Regional Office No. XI, Davao City*
2. *Regional Director, BLGF, Regional Office No. XI, Davao City*
3. *Regional Director, DBM, Regional Office No. XI, Davao City*

4. *The Honorable Members of Sangguniang Panlungsod,*
   Thru: The Secretary, Sangguniang Panlungsod, City of Panabo
5. *The Assistant Commissioner, Local Government Sector, COA, Quezon City*
6. *File - Regional Director, COA ROXI, Davao City*
7. *The Supervising Auditor*
8. *The Audit Team Leader*
9. *The National Library, T. M. Kalaw Street, Ermita, Manila*
10. *The UP Law Center, Bacobo Hall, UP Law Complex, UP Diliman, Quezon City*

REPUBLIC OF THE PHILIPPINES

COMMISSION ON AUDIT

REGIONAL OFFICE NO. XI

PROVINCIAL SATELITTE AUDITING OFFICE

PROVINCE OF DAVAO DEL NORTE

Makilam, Tagum City

OFFICE OF THE SUPERVISING AUDITOR

March 30, 2022

ATTY. EMILIO A. ASI, Jr.
Regional Director
Commission on Audit
Region XI, Davao City

Sir:

In compliance with Section 2, Article IX-D of the Philippine Constitution and pertinent sections of Presidential Decree No. 1445, we conducted a comprehensive audit on the accounts and operations of the City Government of Panabo for the year ended December 31, 2021.

The audit was conducted to: (a) ascertain the fairness of presentation of the financial statements; (b) ascertain the propriety of financial transactions and compliance with prescribed rules and regulations; (c) recommend agency improvement opportunities; and (d) determine the extent of implementation of prior years' audit recommendations.

Our report consists of three parts, namely, Part I – Audited Financial Statements, Part II – Observations and Recommendations, and Part III – Status of Implementation of Prior Years' Audit Recommendations. The observations and recommendations were communicated to Management thru Audit Observation Memoranda and discussed with management officials and staff in an exit conference conducted on February 28, 2022. Their comments are included in the appropriate portion of this report.

Except for the effects of any adjustments that may be made on the following accounts as discussed in Part II of the Report, there is reasonable assurance that the financial statements are free of material misstatements and are prepared in accordance with International Public Sector Accounting Standards (IPSAS).

Our audit was conducted in accordance with International Standards of Supreme Audit Institutions (ISSAIs) and we believe that the audit evidence we have obtained provides a reasonable basis for our audit opinion.

The audit performed by the audit team and accordingly incorporated in the above-mentioned report are stated/indicated, as follows:

Audit Thrust Areas	Finding No.
1. Audit of COVID-19 fund receipt, allocation and utilization	
1.1 Budget	6
1.2 Grants and Donations	2
1.3 Reporting	11
1.4 Others (return of unutilized funds)	5
2. Cash and Cash Equivalent	1
3. Property, Plant and Equipment (PPE)	4
4. Fund Transfer	
4.1 Fund transfers from National Government Agencies (NGAs)	5, 7, 13, and 16
4.2 Fund transfers to Non-Government Organizations/People's Organization (NGOs/POs) and/or Other LGUs	3
5. Utilization of 20% Development Fund	8, 9, 12, and 14
6. Utilization of LDRRM Funds	10 and 15

The report and working papers were submitted to the Office of the Supervising Auditor on February 28, 2022.

Very truly yours,

THELMA V. PULMA
State Auditor IV
Supervising Auditor

REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
REGIONAL OFFICE NO. XI
PROVINCE OF DAVAO DEL NORTE
PROVINCIAL SATELLITE AUDITING OFFICE
Brgy. Mankilam, Tagum City

Office of the Auditor- Audit Team R11-04

February 28, 2022

ATTY. EMILIO A. ASI, JR.
Regional Director
Commission on Audit
Region XI, Davao City

Thru: **THELMA V. PULMA**
State Auditor IV
OIC- Supervising Auditor

Sir:

In compliance with Section 2, Article IX-D of the Philippine Constitution and pertinent provisions of Presidential Decree No. 1445, we conducted a comprehensive audit on the accounts and operations of the City of Panabo for the year ended December 31, 2021.

The audit was conducted to (a) ascertain the fairness of presentation of the financial statements; (b) ascertain the propriety of financial transactions and compliance with prescribed rules and regulations; (c) recommend agency improvement opportunities; and (d) determine the extent of implementation of prior years' audit recommendations.

The attached report consists of four parts: Part I contains the audited Financial Statements; Part II details the Observations and Recommendations; Part III presents the Status of Implementation of Prior Years' Audit Recommendations and Part IV shows the Annexes, which were all discussed with concerned Management officials and staff in an exit conference conducted on February 28, 2022.

We rendered a qualified opinion due to accounting errors totaling P20,966,293.87, casting doubts on the fairness and reliability of the affected reported balances in the financial statements.

Except for the effects of any adjustments that may be made on the accounting errors/omissions and deficiencies as discussed in Part II of the Report, there is reasonable assurance that the financial statements are free of material misstatements and are prepared in accordance with International Public Sector Accounting Standards (IPSAS).

We conducted the audit in accordance with International Standards of Supreme Audit Institutions and we believe that it provides a reasonable basis for our opinion.

We express our appreciation for the valuable support and cooperation extended to our Audit Team by the officials and staff of the Local Government Unit of the City of Panabo.

Very truly yours,

JELYN L. TAGOTUNGAN
State Auditor IV
Audit Team Leader